IN THE MAGISTRATES COURT
HELD AT PERTH

B E T W E E N

Marek SVARC (PROSECUTOR)

and

Vida **REID** (ACCUSED)

STATEMENT OF MATERIAL FACTS
PURSUANT TO SECTION 35 OF THE CRIMINAL PROCEDURE ACT 2004

Prepared by:
National Disability Insurance Agency
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DPP Telephone: 9264 7264
DPP Reference: 2022PR01618

OVERVIEW

1. On 19 October 2020, the National Disability Insurance Agency (**NDIA**) approved Forward Focused Group Pty Ltd, trading as Forward Focused (**FFG**), to provide services to National Disability Insurance Scheme (**NDIS**) participants in Western Australia. Mrs Vida REID (**V REID**) is the Director, shareholder and joint signatory to the company bank accounts. Mr Simon REID (**S REID**) is a shareholder, joint signatory to the company bank accounts and former Director.

2. Hybrid Hive Pty Ltd (**HYBRID**) is an unregistered provider of services to **NDIS** participants in Western Australia. The sole Director of **HYBRID** is **V REID**. The sole shareholder of **HYBRID** is The HIVE Pty Ltd (**HIVE**). The sole Director of **HIVE** is **S REID**. The shareholders of **HIVE** are **V REID** and **S REID**. The joint signatories for the **HYBRID** bank account are **V REID** and **S REID**.

3. It is alleged that, between 26 November 2021 and 22 June 2020, **V REID** and **S REID** caused 81 false 'payment requests' to be submitted against the funding of two disabled

persons participating in the **NDIS**, with the intention of dishonestly causing a loss to the Commonwealth.

4. As a result of these false claims, **V REID** and **S REID** received money reasonably suspected of being proceeds of crime to the sum of **$247,484.78.**

BACKGROUND

The NDIS, NDIS Participants and Participant Plans

5. The **NDIS** is a Commonwealth Government Insurance Scheme established to provide funding to Australians with disabilities. This scheme is administratively managed by the National Disability Insurance Agency (**NDIA**). Persons assessed as being eligible to participate in the scheme each are given an individual identification number. Participants may represent themselves, in the case of children, a nominee or guardian may be appointed and in some cases a primary carer will act as the nominee or spokesperson for an adult participant.

6. Participants of **NDIS** then negotiate with the **NDIA** to formulate a funding package to support the necessary and reasonable needs of the particular individual participant. This arrangement between the **NDIS** and the participant is documented and becomes the participant plan. Plans range in duration from three months to two years. In accordance with the wishes of the participant, the funds are either **NDIS** managed, plan managed by a nominated registered service provider or self-managed. Funds of self-managed plans are released directly to the individual and are out of the control of the Commonwealth. Monetary transactions on all other plans are managed through the Public Sector Collection and Disbursement System.

7. The **NDIA** maintains a Customer Relationship Management (**CRM**) database that records participant plan data.

Service providers

8. Participants are free to choose companies, businesses or individuals to provide the services they require. A facility is available through the **NDIS** for entities to become registered service providers. To achieve a certificate of registration, the applicant submits evidence to the Commission of their qualification /capabilities relevant to the services they wish to provide. A decision is then made whether or not to accept that entity as a registered provider of supports. Registered service providers are recorded on the **NDIS** webpage to assist **NDIS** participants to locate services and supports. Responsibility for the registration of service providers to operate in WA was held by the NDIA until 30

November 2020. On 1 December 2020, the provider registration process became the responsibility of the NDIS Quality and Safeguards Commission (**Commission**).

9. Participants are free to choose unregistered service providers if their funding is "plan managed". The provisions for "plan managed" funds are contained in Division 3 of the *National Disability Insurance Act 2013*. Unregistered providers must submit invoices to a registered provider who then submit claims directly to the **NDIA**. The **NDIA** pays funds to the registered provider who then forwards those funds to the unregistered provider.

Registration with NDIA

10. On 28 August 2020, Forward Focussed Group Pty Ltd was registered as a private company limited by shares. At the time of registration, the principal place of business was recorded as 96 Amethyst Crescent Mount Richin WA.

11. **V REID** has held the position of company Director from 28 August 2020 until now. **S REID** held the position of company Director from 28 August 2020 until 3 January 2021.

12. On 9 November 2020, a declaration of suitability, purportedly signed by **V REID**, was uploaded to the **NDIA** systems.

13. On 19 October 2020, Forward Focussed Group Pty Ltd was registered as a **NDIS** provider of supports for the provision of services in Western Australia.

14. On about 19 October 2020, in the course of establishing itself as an **NDIS** provider, Forward Focussed Group Pty Ltd nominated ANZ Bank account numbered 016002 640515184, bank account for the purposes of receiving payment from the **NDIA**. The sole signatory to this account is **V REID**.

15. On 21 February 2021, Forward Focussed Group Pty Ltd nominated ANZ Bank account numbered 016253 152003884 (**the FFG ANZ Account**), held in the name **S REID** and **V REID**, for the purposes of receiving payments from the **NDIA**.

Registration with PRODA

16. To submit claims for payment to the **NDIA**, registered service providers must gain access to the *myPlace* portal, which is a secure online system.

17. To gain access to the portal, each user must create a Provider Digital Access (**"PRODA"**) account in the name of an individual, similar to a *myGov* account. This system provides a secure electronic means of identity verification for persons to engage with the Department's Health Care system, including the **NDIS**.

PRODA Account in the name of MD Rejaul ALAM

18. On 31 May 2020, at about 12.57pm, an account in the name of MD Rejaul ALAM was created in **PRODA**, with username: '***alamreja'***. (**ALAM PRODA Account**). To authenticate the identity of the person creating the account, the details of the following three documents were provided.

    - Bank Card in the name of ALAM;
    - Western Australia Drivers Licence no 7429948 in the name of ALAM; and
    - Bangladesh Passport no BL0076718 in the name of ALAM.

19. On 30 May 2022, the user ***'alamreja'*** elected to receive **PRODA** verification codes via email 'rejaul@ffg.net.au'. The **PRODA** account cannot be accessed without these codes being entered. Each time a person logs on, a unique code is sent.

20. **NDIA** systems record that **ALAM** was nominated as an account manager for **FFG** between 27 October 2021 until 5 May 2022 and between 30 May 2022 until 4 October 2022.

Unregistered NDIS providers

21. On 17 June 2021, Hybrid Hive Pty Ltd was registered as a private company limited by shares.

22. **V REID** has held the position of sole company Director and sole Secretary from 1 December 2021 until now.

23. The sole shareholder of **HYBRID** is **HIVE**. The sole Director of **HIVE** is **S REID**. The shareholders of HIVE are **S REID** and **V REID**.

<u>INVESTIGATION</u>

24. Between 3 February 2021 and 18 April 2022, forty separate complaints were made to the NDIA in relation to the conduct and claiming patterns of **FFG** and **HYBRID**.

25. On 3 May 2022, the **NDIA** placed a "compliance lock" on **FFG**. This means that all further "direct" claims submitted by **FFG** would be manually processed.

26. Between 20 May 2022 and 1 September 2022, twenty nine separate complaints were made to the **NDIA** in relation to the conduct and claiming patterns of **FFG** and **HYBRID**.

27. On 1 September 2022 the **NDIA** commenced an investigation into the claims submitted by **FFG** and **HYBRID**.

28. To date, twenty-seven witness statements have been taken with investigations ongoing. Further witness statements are expected and further forensic accounting analysis is required.

Registered NDIS Provider Assist Plan Managers

29. ZETTAI Pty Ltd trading as Assist Plan Managers (**ASSIST**) is an NDIS registered provider that performs the services of a Plan Manager.

30. At various times, **ASSIST** has received invoices from **FFG** and **HYBRID** for services purportedly provided to various NDIS participants. **ASSIST** has then made claims to the **NDIA** for these services, recieving funds from the **NDIA**, and then forwarding these to **FFG** or **HYBRID**.

31. Karen MARASIGAN (**MARASIGAN**) is employed as the Head of Compliance at **ASSIST** and has provided a statement relating to invoices received from **FFG** and **HYBRID**, payment software utilised and remittance advices for payments. These remittance advices include the amounts of funds transferred to **FFG** and **HYBRID** and the account details.

32. **MARASIGAN** further states that she met with **V REID** in January 2022 to discuss with her recurring errors in invoices being submitted to **ASSIST**.

33. Michael PERIERA (**PERIERA**) is employed as the Senior Head of Service Delivery at **ASSIST** since 13 June 2022. **PERIERA** has provided a statement relating to his duties at **ASSIST** and his role overseeing the client care management team.

34. **PERIERA** further states that he is the only person who will submit fraud reports to the **NDIA**.

35. **NDIA** systems record that between 26 August 2022 and 21 September 2022, **PERIERA** submitted 11 separate reports of suspicious invoices submitted by **HYBRID** and **FFG**.

V REID Background

36. **V REID** was employed by the **NDIA** as a Local Area Coordinator between 19 March 2020 and 8 October 2020. As a former employee of the **NDIA**, **V REID** has knowledge of **NDIA** systems and processes. **V REID** is herself a participant.

FFG Employee Statement

37. Leah NORMAN (**NORMAN**) was employed by **FFG** from 14 December 2020 until October 2021. **NORMAN** also held shares in **HIVE** with **V REID** between 17 June 2021 and 19 December 2021.

38. **NORMAN** states that **V REID** encouraged her to inflate the amount of time she spent coordinating support services for participants.

39. **NORMAN** also states that **V REID** would "invoice bomb", meaning claiming for the residual funds left in a participants plan towards the end of the plan expiry. **NORMAN** states she fielded complaints from three separate plan managers about this type of claiming.

40. **FFG** and **HYBRID** are responsible for $1,485,527 in claims from expired plans. This represents 31% of total successful claims.

OFFENCES

Charge 1 – s135.1(3) General dishonesty – C*ausing a loss*

False claims for service to NDIS Participant Meghan GOODWIN

41. On 30 November 2021, the **NDIA** issued a new plan for Participant **GOODWIN** (**GOODWIN**). This occurred because of an administrative error in the plan issued on 15 October 2021.

42. On 30 November 2021, **CRM** records that at 14:57pm, **V REID** contacted the **NDIA** requesting a copy of the new plan for Participant **GOODWIN**. This plan was emailed to **V REID** by an **NDIA** employee.

43. On 30 November 2021, **CRM** records that at 15:24pm, three separate claims for payment were submitted using the **ALAM PRODA** Account, purportedly provided to **GOODWIN** by **FFG**. These claims were submitted against the plan expiring on 30 November 2021.

44. The claims submitted include 398 hours of house cleaning between 15 October 2021 and 30 November 2021. This equates to 8.46 hours of cleaning everyday for 47 days. The claims also include 225 hours of House and Yard Maintenance between 15 October 2021 and 30 November 2021. This equates to 4.8 hours of maintenance everyday for 47 days.

45. On 1 December 2021, the **NDIA** made a payment of **$43,004.60** into the **FFG** ANZ account. Bank records obtained from Australia and New Zealand Banking Corporation show that the joint signatories for the **FFG** ANZ Account are **V REID** and **S REID**.

46. Between 30 December 2021 and 20 April 2022, an unknown person using FFG software "Xero" submitted 14 separate invoices to **ASSIST** for services purportedly provided to **GOODWIN**.

47. Between 30 December 2021 and 20 April 2022, **ASSIST** submitted 14 separate claims to the **NDIA** for services purportedly provided by **FFG** to **GOODWIN**.

48. The claims resulted in the payment of $5,979.64 to **ASSIST**.

49. Between 31 December 2021 and 21 April 2022, **ASSIST** transferred **$5,979.64** into the **FFG** ANZ Account.

50. Between 25 January 2022 and 10 May 2022, an unknown person using **FFG** software "Xero" submitted 20 separate invoices to **ASSIST** for services purportedly provided to **GOODWIN** by **HYBRID**.

51. Between 25 January 2022 and between 10 May 2022, **ASSIST** submitted 20 separate claims to the **NDIA** for services purportedly provided by **HYBRID** to **GOODWIN**.

52. The claims resulted in the payment of $78,491.06 to **ASSIST**.

53. Between 27 January 2022 and 17 May 2022, **ASSIST** transferred **$78,491.06** into ANZ account 016253 154173449 (**the HYBRID ANZ Account**). Bank records obtained from Australia and New Zealand Banking Corporation show that the joint signatories for the **HYBRID** ANZ Account are **V REID** and **S REID**.

Claims for services not provided

54. **GOODWIN** has provided a witness statement that she did not receive the services purportedly provided in these claims.

55. An **NDIA** forensic accountant has examined the statement of **GOODWIN**, the statement of **MARASIGAN**, NDIA payment records, the **FFG** ANZ Account statements and the **HYBRID** ANZ Account statements. The **NDIA** forensic accountant has calculated that the value of claims submitted where no service was provided is **$127,475.30**.

Charge 2 - s400.9(1) – *Dealing with property reasonably suspected of being proceeds of crime*

Proceeds deposited into the Account of V REID and S REID

56. As a result of these false claims for services, **V REID** and **S REID** received money reasonably suspected of being proceeds of crime to the sum of **$127,475.30**.

Charge 3 - s135.1(3) General dishonesty – C*ausing a loss*

False claims for service to NDIS Participant Sarah-Jane CLULOW

57. Between 24 November 2021 and 22 April 2022, an unknown person using **FFG** software submitted 30 separate invoices to **ASSIST** for services purportedly provided to **NDIS** participant Sarah-Jane CLULOW (**CLULOW**).

58. Between 24 November 2021 and 22 April 2022, **ASSIST** submitted 14 separate claims to the **NDIA** for services purportedly provided by **FFG** to **CLULOW**.

59. The claims resulted in the payment of $86,192.60 to **ASSIST**.

60. Between 15 December 2021 and 26 April 2022, **ASSIST** transferred **$86,192.60** into the **FFG** ANZ Account.

61. Between 25 May 2022 and 22 June 2022, an unknown person using **FFG** software submitted 14 separate invoices to **ASSIST** for services purportedly provided to **CLULOW**.

62. Between 25 May 2022 and 22 June 2022, **ASSIST** submitted 14 separate claims to the **NDIA** for services purportedly provided by **FFG** to **CLULOW**.

63. The claims resulted in the payment of $33,816.88 to **ASSIST**.

64. Between 26 May 2022 and 23 June 2022, **ASSIST** transferred **$33,816.88** into Westpac Account 036032 736973 (**the FFG WESTPAC Account**). Bank records obtained from Westpac Banking Corporation show that the joint signatories for the **FFG** Westpac Account are **V REID** and **S REID**.

Claims for services not provided

65. **CLULOW** has provided a witness statement that she did not receive the services purportedly provided in these claims.

66. An **NDIA** forensic accountant has examined the statement of **CLULOW**, the statement of **MARASIGAN**, NDIA payment records, the **FFG** ANZ Account statements and the **FFG** WESTPAC Account statements. The **NDIA** forensic accountant has calculated that the value of claims submitted where no service was provided is $120,009.48.

Charge 4 - s400.9(1) – *Dealing with property reasonably suspected of being proceeds of crime*

Proceeds deposited into the Account of V REID and S REID

67. As a result of these false claims for services, **V REID** and **S REID** received money reasonably suspected of being proceeds of crime to the sum of **$120,009.48**.

ARREST OF the ACCUSED

Search Warrant

68. On Wednesday 19 October 2022, members of the AFP, Services Australia and NDIA executed a search warrant at 96 Amethyst Crescent, Mount Richon.

69. At approximately 9:01am, V REID was arrested by Western Australian Police by virtue of a Warrant issued under the Criminal Procedure Act 2004 (*WA*) and advised of the caution and rights pursuant to Part 1C of the Crimes Act (*CTH*).

70. At around 09:41hrs, V REID was offered the opportunity to participate in an electronically recorded interview in relation to the alleged offences. V REID declined and stated that she does not wish to speak with NDIS investigators.

71. Shortly thereafter, Vida REID was transported to the Amadale Police Station.

72. A search of the premises is continuing.

Charging and Bail

73. V REID was charged and processed at the Amadale Police Station.

74. V REID appeared in Armidale Magistrates Court of WA on 19 October.

75. There is no tape or videotape recording of conversations between the accused and a person in authority in the possession of the prosecution.

DATED: 19 October 2022